tion, coordinated across the maze of US departments necessary to prepare the ground for signing an interim trade agreement. The finale would be the 40-minute call between Modi and Trump where they ironed out their differences and clinched the deal. Soon after, Trump posted on Truth Social that he was reducing tariffs on Indian goods from 50 per cent to 18 per cent and that India had committed to curb its purchase of Russian oil.

To Goyal, the back-to-back big deals "show that India has emerged out of the shadows. Today, India is a very self-confident country. It engages with the developed nations from a position of strength". In his view, FTAs are not merely transactional bar-

ANI



NEW PARTNERS Piyush Goyal with US Ambassador Sergio Gor, Feb. 10

gains over tariffs; they are instruments to shape India's future trajectory. He situates them within a far more ambitious vision of India's journey—from a roughly $4-trillion (Rs 362 lakh crore) economy to a $30-trillion one—toward Viksit Bharat by 2047. Goyal encapsulates this vision in what he calls the "power of 30-30-30": a $30-trillion economy, powered by the demographic dividend of a population under 30, one it will have for the next 30 years. And all under a decisive leadership, willing to take risks.

India's engagement with the EU and the US is the most visible expression of this bold new trade doctrine. These are by no means easy partners. In these markets, tariffs are only the entry point—compliance with standards, sustainability norms and quality benchmarks is the real test. For Europe, the significance of a deal with India lies not only in the scale of market access, but in what it

ELECTRONICS

Flipped Switch

With duties down, Indian exporters have regained competitive parity



US DEAL

Electronics exports to the US (FY25)

$14.6 bn

Electronics imports from the US (FY25)

$4.5 bn

Electronics saw 50% tariff earlier, but mobiles, semiconductors etc. were exempted. The modalities on how much India will gain by the reduced tariffs is still being worked out

EU DEAL

Electronics exports to the EU (FY25)

$9.1 bn

Electronics imports from the EU (FY25)

$8.9 bn

With the deal covering 27 countries with varying tariffs earlier, India had much to gain. EU has reduced tariffs to zero now for exports. Non-tariff barriers in fine print will finally determine success

Electronics account for 8-10 per cent of India's total merchandise exports today, making it one of the fastest-growing export categories. The US is India's largest electronics export destination, a 35-40 per cent share valued at $14.6 billion (Rs 1.3 lakh crore) in FY25, while the EU's share was around 25 per cent.

The most immediate gains from the India-US deal are visible in electronic components, small sub-systems and electronics manufacturing services (EMS). These segments were disproportionately hit when tariffs jumped from zero to as high as 50 per cent. With duties now closer to those faced by competitors such as China, Vietnam, Malaysia and Thailand, Indian exporters have regained competitive parity. As Vinod Sharma, ex-chairman of the Electronics and Computer Software Export Promotion Council (ESC), notes, buyer discussions have restarted, suggesting a near-term revival in many orders.

At the same time, the deal does not materially alter the trajectory of mobile phones and certain IT hardware, which were largely exempt from US duties and continued to grow. Mobile phones are now India's third-largest merchandise export, driven by the performance-linked incentive (PLI) scheme and a rapidly scaling assembly ecosystem. India now accounts for nearly 18-20 per cent of Apple's iPhone production outside China. Over the medium term, the real opportunity lies in aligning trade access with the China-plus-one strategy reshaping global electronics supply chains.

For the EU, the deal offers significant market-expansion potential, though the industry remains cautious as negotiations continue. Non-tariff barriers, particularly sustainability-linked regulations such as the Carbon Border Adjustment Mechanism, could favour larger players with the ability to comply.

—Sonal Khetarpal



"If India positions itself well as a green, clean and economically viable source, we can become the best option for Europe"

—VINOD SHARMA
Ex-Chairman, ESC